SECTION A – CASE QUESTIONS **(Total: 50 marks)**

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Your firm is the auditor of Kape Limited ("Kape") for certain years. You are the audit engagement manager of Kape, and you are now planning the audit for the year ended 31 December 2022.

Kape, together with its subsidiaries ("the Group"), engages in the development and management of real estate properties in mainland China. Throughout 2022, the COVID-19 pandemic persisted and strict travel restrictions remain in place in most countries. This has imposed numerous difficulties on your firm members and their ability to take business trips to other countries.

Kape currently holds ten retail malls in Hong Kong, Japan, and the United Kingdom for investment purposes, including some overseas properties newly acquired during the fiscal year 2022. The investment properties are accounted at fair value. The Group has engaged Global Appraisal Advisory Limited ("GAAL") to perform the investment properties valuation.

During the year, the Group continued to record a significant decline in gross rental income from leased properties in Hong Kong, as tough COVID-19 curbs implemented during the year dampened retail sales in Hong Kong. As such, Kape offered two-months' rent concessions to its tenants from 1 July 2022 to 31 August 2022.

Kape also acquired a piece of land in a tier one city in mainland China at a cost of HK$450,000,000 in July 2019 to construct residential buildings. The estimated total construction costs (including the land cost) for the whole project ("Project") is HK$1,800,000,000. The Project commenced in January 2020 and the expected completion date is June 2023. The Project is mainly financed by bank borrowings, as detailed below. The audit engagement team noted that there are no other new borrowings that have been entered into by the Group since then. During the past year's audit, there was no significant audit issue related to the bank borrowing balance.

	Galaxy Bank	Silver Bank
Principal amount	HK$800,000,000	HK$200,000,000
Interest rate	8% per annum	6% per annum
Drawdown date	Whole facility drawdown on 1 December 2019	Whole facility drawdown on 1 June 2020
Maturity date	30 June 2024	30 June 2024
Major securities/ covenants	- Project's completion date cannot be later than 31 July 2023, otherwise the loan will be repayable on demand - Except above, no repayable on demand clause	- Secured by one investment property with fair value of not less than HK$300 million in Hong Kong - Kape needs to obtain consent from Silver Bank for any new or modified financing arrangement of the Group, otherwise the loan will be repayable on demand - Except above, no repayable on demand clause

Extracts of Kape's consolidated financial information for the fiscal years 2021 and 2022 are shown below:

	2022 (Unaudited) HK$'000	2021 (Audited) HK$'000
Assets		
Non-current assets		
Investment properties	2,299,123	2,229,233
Property, plant and equipment	147,114	177,246
Right-of-use assets	12,105	14,762
	2,458,342	2,421,241
Current assets		
Properties under development for sale	629,353	457,346
Trade receivables	21,342	12,256
Financial assets at fair value through profit or loss	85,600	91,826
Cash and bank balance	347,352	802,912
	1,083,647	1,364,340
	3,541,989	3,785,581
Liabilities		
Current liabilities		
Short-term borrowings	193,284	214,012
Lease liabilities	15,241	11,918
Trade and other payables	64,345	58,081
Current tax payable	27,054	12,084
	299,924	296,095
Non-current liabilities		
Long-term borrowings and other interest-bearing liabilities	1,010,000	1,247,817
Lease liabilities	11,912	14,626
	1,021,912	1,262,443
	1,321,836	1,558,538
Net assets	2,220,153	2,227,043
Net current assets	783,723	1,068,245
Revenue		
- Rental income	198,432	179,303
- Management services fee	10,537	9,753
Changes in fair value of investment properties	(10,110)	13,169
(Loss)/ Profit for the year	(6,890)	5,810

In November 2022, the management of Kape found that two of the unfinished buildings in the Project had construction defects and did not meet the requirements of the approved design. The incidents caused significant disruption to the Project, and the expected completion date has now been delayed to December 2023.

Due to the delay in the completion date, the management expects there will be an overrun of the Project construction costs, and Galaxy Bank may exercise their rights to call partial or full loan repayment immediately, as the delay in the completion date will breach one of the covenants in the borrowing agreement. The Group will face a working capital sufficiency issue due to the unexpected cash outflow and the consequences of the breached covenant.

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<u>Question 1</u> (15 marks – approximately 27 minutes)

(a) Evaluate the risk of material misstatements relating to the investment properties in Kape's consolidated financial information in terms of existence and valuation assertions.

Note: Assessment of control risks is not required in your answer.

(4 marks)

(b) Recommend questions that you would ask the management's expert engaged by Kape before you start reviewing the valuation works performed by them.

(3 marks)

(c) Assume that the external valuer's competence, capabilities, and objectivity are satisfactory. Propose audit procedures to address the risk of material misstatements relating to the existence and valuation assertions of the investment properties of Kape.

(8 marks)

<u>Question 2</u> (6 marks – approximately 11 minutes)

Propose audit procedures to address the risk of material misstatements relating to the accuracy and cut-off assertions of the rental income of Kape.

(6 marks)

<u>Question 3</u> (10 marks – approximately 18 minutes)

(a) Evaluate the risk of misstatements relating to the long-term borrowings in Kape's consolidated financial information in terms of completeness and classification assertions.

Note: Assessment of control risks is not required in your answer.

(4 marks)

(b) Propose audit procedures on bank confirmations, in particular to address the risk of material misstatements relating to the accuracy, completeness, and classification assertions of the long-term borrowings of Kape.

(4 marks)

(c) Apart from the confirmation procedures mentioned in Question 3(b), propose other audit procedures to address the risk of material misstatements relating to the accuracy, completeness, and classification assertions of the long-term borrowings of Kape.

(2 marks)

Question 4 **(15 marks – approximately 27 minutes)**

In addition to the facts provided in the case, Kape's management has proposed the below measures to improve the tight working capital situation:

1. Accelerate its pre-sell of property under development to the public in March 2023;

2. Actively seek agents to dispose of two investment properties held by the Group in Japan and the United Kingdom;

3. Improve working capital by cutting unnecessary expenses in the fiscal year 2023;

4. Negotiate with banks to extend the covenant on the Project's completion date and extend the repayment period (the negotiation is still in process, and there is no waiver letter or extension granted by Galaxy Bank before 31 December 2022 yet); and

5. Source additional financing from other banks and new investors.

Kape's management has prepared a cash flow projection covering a period of 12 months from 31 December 2022 and has taken into account the anticipated cash flow on the above measures and other facts stated in the case. The management has considered it appropriate for Kape to prepare its consolidated financial statements on a going concern basis.

Required:

(a) State the auditors' objectives for reviewing the going concern basis applied by the entities.

(3 marks)

(b) Based on the facts provided in the case and the information above, identify the risks that may be indicative of material uncertainty about Kape's ability to continue as a going concern.

(5 marks)

(c) Based on the facts provided in the case and the information above, propose audit procedures to evaluate the cash flow projection prepared by Kape's management.

(7 marks)

<u>Question 5</u> (4 marks – approximately 7 minutes)

Assume that before the year ended 31 December 2022, Kape obtained a waiver letter and a revised banking facilities letter from Galaxy Bank in which the bank revised certain clauses in the borrowing agreement, including the event of default covenant. Galaxy Bank has agreed to revise the Project's required completion date from 31 July 2023 to 30 April 2024.

<u>Required:</u>

Advise on the implications of such events over the going concern basis for Kape's consolidated financial statements for the year ended 31 December 2022 and propose relevant audit procedures on addressing such risk.

(4 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 6 (12 marks – approximately 22 minutes)

Evaluate the following situations and advise on whether you agree or disagree with the audit senior's analysis, and if there is any need to propose safeguards.

Required:

(a) In a client meeting, the audit senior overheard that the Chief Executive Officer is planning to acquire a listed company. The audit senior is thinking to ask his mother to buy this listed company's shares. The audit senior considers that he will not breach any Codes of Ethics for Professional Accountants ("Code of Ethics") because he does not intend on disclosing any client information to his mother, the acquisition is not confirmed yet, and his mother is not his close family member; therefore, she can invest in any securities.

(4 marks)

(b) An audit senior has accepted a mortgage loan from a bank which is an audit client of his firm. This audit senior is one of the audit team members. The audit senior considers that he has not breached any Code of Ethics because the mortgage loan is determined at market terms, and thus it is not material to the size of the bank.

(4 marks)

(c) An audit senior has realised that his firm has recently accepted a listed company as an audit client and he will be assigned as one of the audit team members. This audit senior has found that his wife owns 10,000 shares in this listed entity which were purchased by his wife three years ago. The audit senior considers that he has not breached any Code of Ethics because the shares were owned before his firm accepted this audit client, and thus the audit senior can continue to audit this new audit client.

(4 marks)

Question 7 **(12 marks – approximately 22 minutes)**

Advance Electronics Limited engages in the trading of different brands of portable batteries for sale to its customers. It maintains a fully automated computerised system to calculate the cost of inventories based on the weighted average method formula preset in the system and the actual stock-in (when finished goods are purchased) and stock-out (when finished goods are sold) quantities movements of the finished goods items. The inventory costs are posted to its inventory sub-ledger every Friday. The audit team has already understood and evaluated the general IT controls of this application and has concluded that they are effectively designed and implemented. The audit team decides to rely on the information processing controls and is planning to perform tests of these automated controls.

Required:

(a) **Design audit procedures to test the information processing controls relating to the processing of information in its IT application over the inventory costing.**

(6 marks)

(b) **During the testing of information processing controls over the inventory costing, the audit team found that the formula used to calculate the weighted average costs of one of the finished goods is not correct. Advise the audit team on the next steps to respond to this finding.**

(6 marks)

Question 8 **(12 marks – approximately 22 minutes)**

Gin Corporation is a mining, metals, and petroleum public company listed in Hong Kong. During the year, adverse media coverage of Gin Corporation emerged because of Gin Corporation's non-compliance with certain overseas environmental regulations. As a result of this non-compliance, there were sanctions imposed by an overseas government on Gin Corporation which resulted in penalties of HK$1.2 billion. A few lawsuits were consequently raised against Gin Corporation, alleging that Gin Corporation has caused damage to the environment.

The board of directors immediately engaged an external consultant to investigate these incidents of non-compliance and to close the gaps. In addition, it was found that Gin Corporation does not have adequate staff to keep abreast of the changes to laws and regulations which caused the breaches of certain new regulations. Gin Corporation has already remediated and set up a new compliance department to observe any new regulations.

Required:

(a) **To ensure good practice of corporate governance, recommend the details that the board of directors of Gin Corporation should disclose in its annual report.**

(6 marks)

(b) **Propose audit procedures to respond to the incidents of non-compliance and the potential lawsuits against Gin Corporation as described in the case information above.**

(6 marks)

Question 9 **(14 marks – approximately 24 minutes)**

Warrior Limited is an online game company listed in Hong Kong. The company is engaged in the provision of online gaming for its online players. In 2022, it expanded rapidly through acquisitions of various online game companies in Singapore, Vietnam, and Ukraine. Shortly after the year end date in January 2023, the auditor of Warrior Limited tendered its resignation because it could not reach consensus with the management regarding audit fees.

You are Janice Lee, a senior manager of an audit firm. The Chief Financial Officer of Warrior Limited has approached your firm to act as auditor for its financial statements for the year ended 31 December 2022. Below is an overview of the revenue and profitability of each significant subsidiary where its principal business is located in the respective country for your firm's consideration:

	2022		2021	
	Revenue	Profit/(loss)	Revenue	Profit/(loss)
	HK$'000	HK$'000	HK$'000	HK$'000
Hong Kong	400,000	140,000	200,000	74,000
Singapore	150,000	50,000	-	-
Vietnam	103,000	40,000	-	-
Ukraine	97,000	54,000	-	-
Total	750,000	284,000	200,000	74,000

Required:

Prepare a client and engagement acceptance memo for Richard Wong, your audit partner, to analyse the above situation of Warrior Limited and apply the considerations relating to management characteristics and integrity, organisation and management structure, IT environment, audit team resources, and any other relevant aspects in the memo.

Note: A maximum of 2 marks for communication skills and 2 marks for analytical skills will be awarded.

(14 marks)

*   *   *   END OF EXAMINATION PAPER   *   *   *